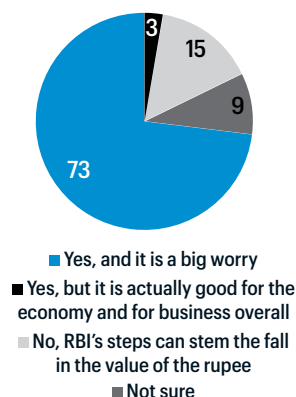


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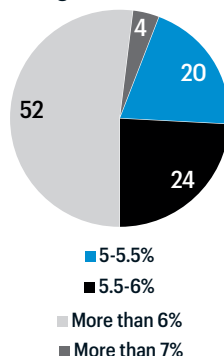
Do you expect the rupee to depreciate beyond 83 in the next quarter?



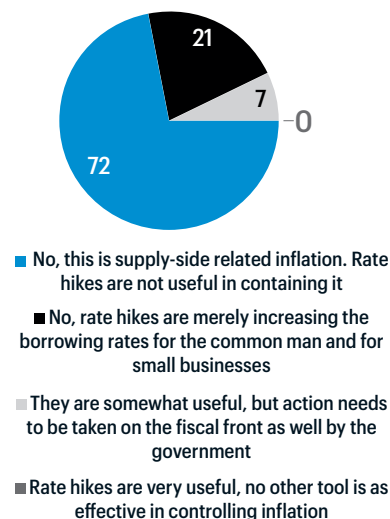
All figures are in %

Source: The BT-C Fore Business Confidence Survey was conducted between October 7 and 18, 2022, of 500 CEOs or CFOs representing various industries and company sizes across Delhi, Mumbai, Chennai, Hyderabad, Bengaluru, Kolkata, Chandigarh, Lucknow, Nagpur, Kochi, Visakhapatnam and Bhubaneswar

GDP growth projections for FY23 have been revised downwards by several agencies. What is your own expectation of GDP growth this fiscal?



Are rate hikes a suitable tool for controlling the kind of inflation we are seeing today?



stabilised a bit in recent days. However, 73 per cent of the BT BCI survey's respondents felt the rupee will surely depreciate beyond 83 to the dollar in the next quarter, and the overwhelming vote was that this is a worry.

The other big concern is inflation, especially retail inflation, which refuses to climb down despite the RBI's repeated repo rate hikes. In fact, CPI inflation has been way higher than the RBI's 'tolerance limit' of 6 per cent this entire calendar year. Even after taking into account the fact that such monetary policy interventions see outcomes with a lag, inflation remains a worry, and the question is whether hiking repo rate is the right instrument to deal with the nature of inflation we are seeing today. The respondents of the BCI survey almost unanimously feel the repo rate hikes won't work, with 72 per cent respondents saying this is supply-side related inflation and rate hikes are not useful in containing it; and another 21 per cent saying that the rate hikes are merely increasing the borrowing rates for the common people and small businesses.

But things are not so straightforward. Economists Nayar and Chowdhury give some insights. "Rate hikes will have an impact on demand with a lag, but may not be successful in rapidly cooling inflation, as it is being driven more by global supply-demand issues and food items," says Nayar of ICRA. Chowdhury elaborates, saying that 55.1 per cent of the CPI comprises food and bev-

erages (including pan, tobacco, etc.) and fuel and light. "The price trajectory in these categories is primarily driven by supply dynamics as we have seen in the case of fuels and edible oils over the past one year. With improvement in the supply scenario, the inflation in these products has visibly come down. But in the case of cereals, inflation is on the rise due to an expectation of lower kharif harvest and lower stock levels, reinforcing the relevance of the supply factor," says Chowdhury.

Inflation in the rest of the CPI basket (44.9 per cent), comprising non-food and non-fuel items, is shaped by demand. This part of the CPI inflation, also called core inflation, is at 6.3 per cent in September, and so creates scope for further moderation through more rate hikes. But inflation in the food and fuel part can only be addressed through fiscal policy moves. "However, apart from supply- and demand-induced price pressures, higher imported inflation, led by significant rupee depreciation, is currently also a factor behind higher domestic inflation; tighter monetary policy can help stabilise the rupee and thereby, mitigate imported inflation risks," says Chowdhury.

Still got no sense of the real direction? Well, that's the ground reality at present. Bottom line: hold on tight. **BT**

(With inputs from Rajat Mishra)